ULTRA SOUND MONEY

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

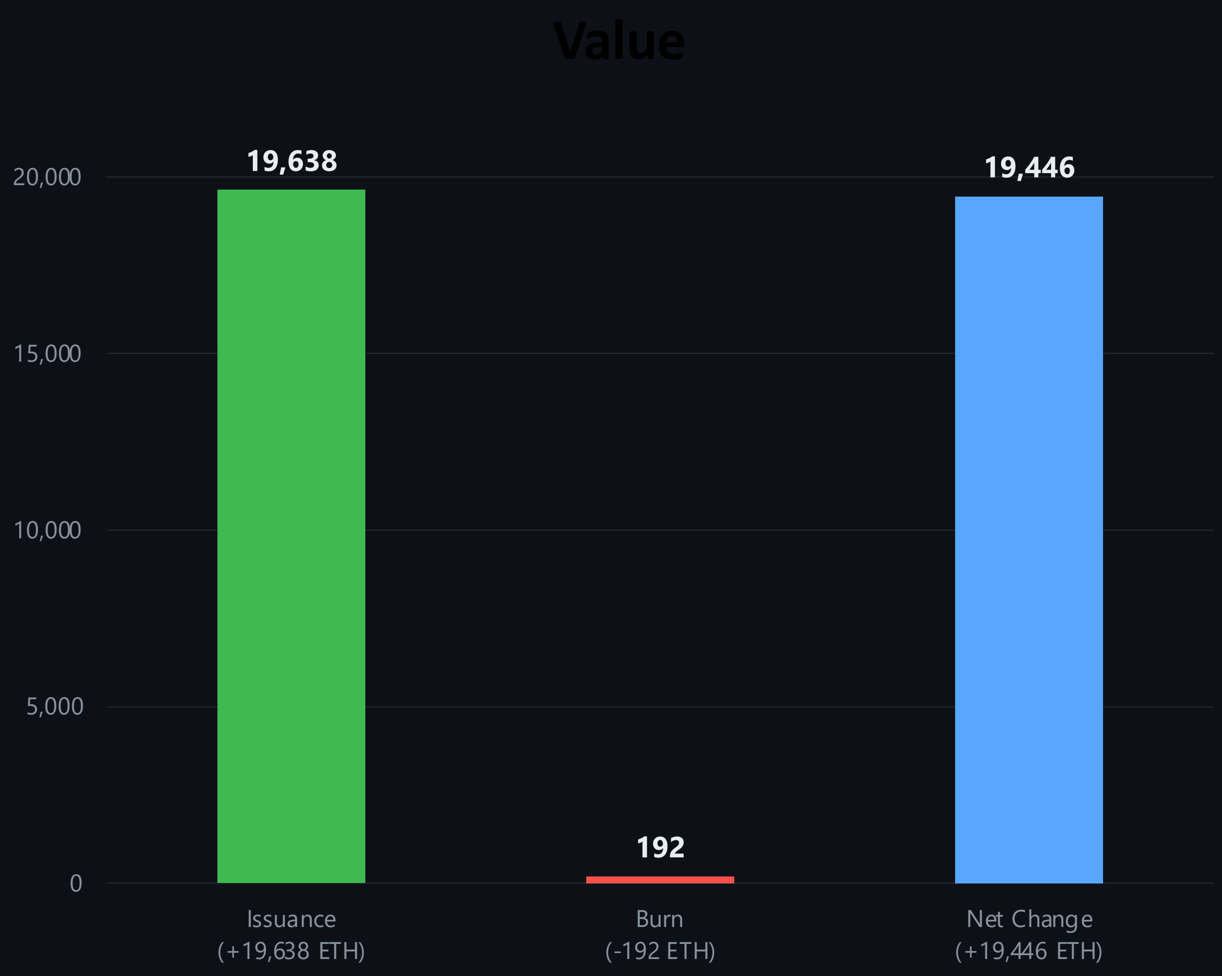
A data-driven analysis of ETH's deflationary mechanics, burn rates, staking economics, and long-term supply projections.

CURRENT SUPPLY	ETH PRICE	BASE GAS	NET SUPPLY Δ (7d)
121,603,980 ETH	**$2,243**	**0.1 Gwei**	**+19,446 ETH**
		Historic low	+0.83%/yr annualized

Source: ultrasound.money | Data as of latest 7-day trailing period

ETH Supply Growing at +0.83%/Year — Only 192 ETH Burned in 7 Days

7-day snapshot: issuance dwarfs fee burn at current gas levels, producing a 0.01x offset ratio



TOTAL SUPPLY

121,603,980 ETH

7-DAY NET CHANGE

+19,445.89 ETH

+0.83%/yr annualized

ISSUANCE OFFSET RATIO

0.01x

Burns offset ~1% of new issuance

Key Insight

At 0.1 Gwei avg gas, EIP-1559 burn is virtually inactive. Issuance of 19,638 ETH vs burn of 192 ETH over 7 days shows the mechanism needs higher on-chain activity to become deflationary.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 dynamically adjusts base fees — when demand is low, the burn mechanism is starved

MINIMUM	AVERAGE	MAXIMUM	EQUILIBRIUM TARGET
0.0 Gwei	**0.1 Gwei**	**1.3 Gwei**	**22 Gwei**
7-day trailing	7-day trailing	7-day trailing	Long-term projection assumption

EIP-1559 BURN MECHANICS

How it works:

- Every transaction pays a base fee that is burned (destroyed)
- Base fee adjusts dynamically based on block utilization
- When blocks are >50% full, base fee increases
- When blocks are <50% full, base fee decreases
- At current ~0.1 Gwei, blocks are far below capacity

BLOB GAS (EIP-4844)

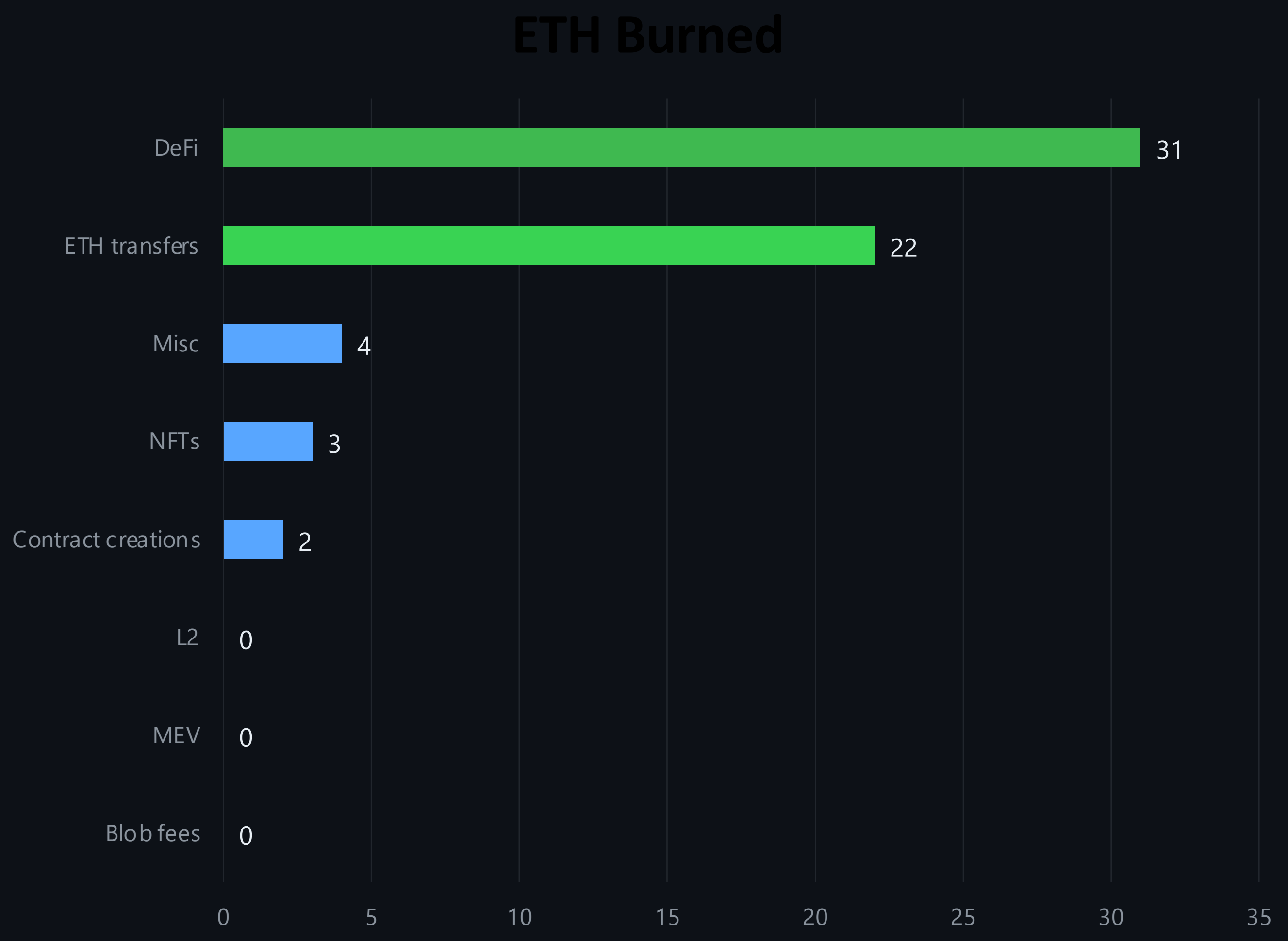
L2 Data Availability Fee Market

- Average blob gas: 7,144,934 wei
- 7-day blob fee burn: 0.15 ETH ($319)
- Blob fees are negligible at current activity levels

Current gas is 220x below the 22 Gwei needed for burn/issuance equilibrium — activity recovery is the critical variable.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn by category — 192 ETH total | Recent blocks show 0.00–0.01 ETH burned per block



TOP BURN CONTRIBUTORS (7-DAY)

ETH transfers	21.74 ETH
Tether (USDT)	13.55 ETH
Other DeFi contracts	~17 ETH

7-Day Record Burn

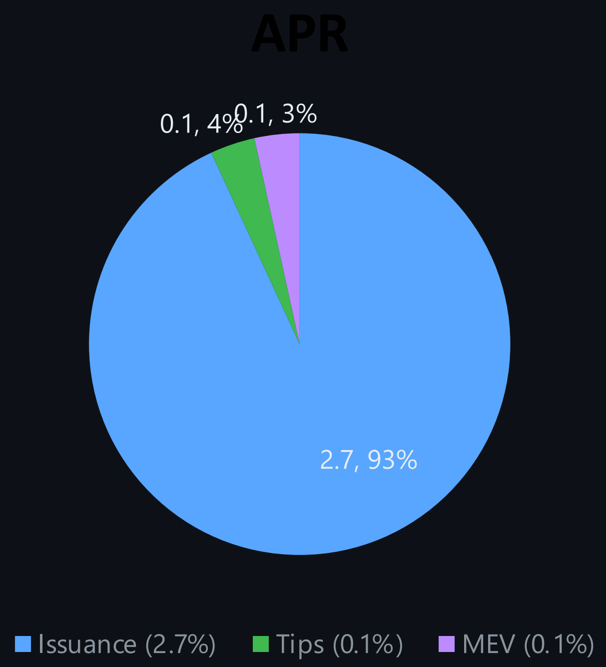
0.07 ETH in a single block

Typical blocks: 0.00–0.01 ETH burned

38.9M ETH Staked — 2.7% Issuance Rewards with Minimal Tips and MEV

~32% of total supply locked in proof-of-stake, creating structural supply scarcity

ETH STAKED	TOTAL STAKING APR	SCARCITY LOCK	PoS ISSUANCE
38.9M ETH	**~2.9%**	**9.1M ETH**	**~2,800 ETH/day**
~32% of total supply	Issuance + Tips + MEV	Avg lock period: 10.7 years	Primary source of new supply



VALIDATOR REWARD BREAKDOWN

Per Validator

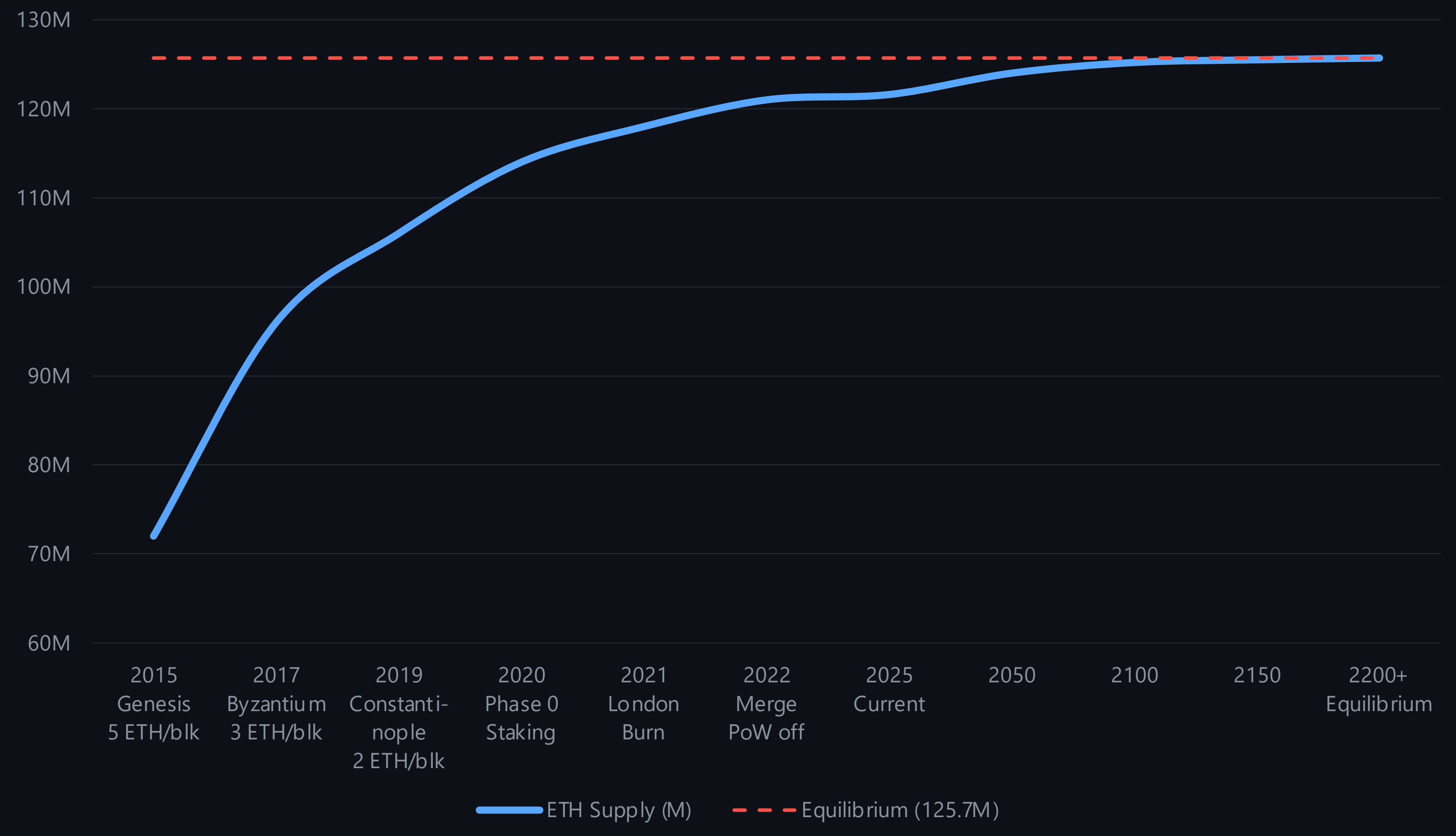
Issuance: 0.9 ETH/validator → 2.7% APR
Tips: 0.0 ETH/validator → 0.1% APR
MEV: 0.0 ETH/validator → 0.1% APR

Supply Impact

Rewards almost entirely from protocol issuance, not economic activity (tips/MEV). This means validator income is stable but the network's fee revenue — which drives burn — remains weak at current gas prices.

Long-Term Equilibrium at 125.7M ETH — 200-Year Projection

Assumes 39M ETH staked and 22 Gwei avg base gas | Issuance and burn converge at ~1,037K ETH/year



PROJECTION PARAMETERS

Equilibrium Supply	**125.7M ETH**
ETH Staked	**39M ETH**
Avg Base Gas	**22 Gwei**
Annual Balance	**~1,037K ETH/yr**
PoS Issuance	**~2,800 ETH/day**
Normalized Burn	**~2,200 ETH/day**
Staker Reward	**2.7%/yr**
Non-Staker Dilution	**1.2%/yr burn rate**

ETH at 18.7% of Bitcoin's Market Cap — Securing $307B+ in Total Value

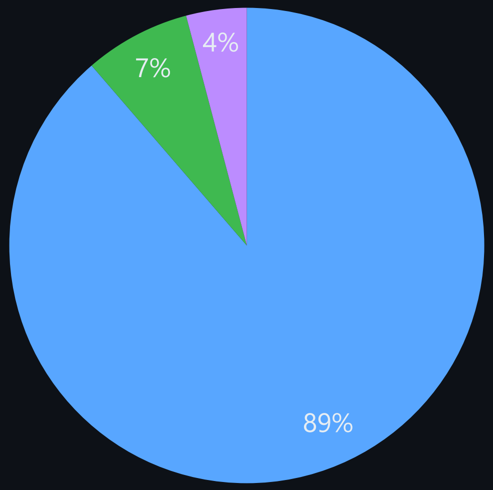
Flippening progress vs. monetary peers and Total Value Secured (TVS) across ETH, ERC20s, and NFTs

vs. BITCOIN
18.70%
ETH market cap ratio

vs. USD
1.30%
ETH market cap ratio

vs. GOLD
0.89%
ETH market cap ratio

TVS



ETH Native $272.76B
ERC20 Tokens $22.21B
NFTs $12.66B

TOTAL VALUE SECURED: ~$307.6B

Top ERC20s

Dai	$4.41B
Shiba Inu	$3.51B
Cronos	$2.97B
Tether Gold	$2.65B

Top NFTs

CryptoPunks	$2.13B
BAYC	$0.68B
ENS	$0.63B
Pudgy Penguins	$0.51B

Community: 6,000+ members tracking ultrasound.money metrics

ETH native value ($272.76B) accounts for 88.7% of Total Value Secured

Key Takeaways: Ultra Sound Money Thesis — Intact but Conditional

Gas activity is the critical variable — the mechanism works, but requires demand to fire

1 Currently Mildly Inflationary at +0.83%/yr

Historic low gas (0.1 Gwei avg) means burns offset only ~1% of issuance. 192 ETH burned vs 19,638 ETH issued over 7 days.

2 Burn Mechanism Works — Needs Activity to Activate

EIP-1559 is functioning as designed. DeFi and ETH transfers drive 85% of burn. But at current gas levels, the mechanism is dormant.

3 38.9M ETH Staked Creates Structural Supply Lock

32% of supply locked in PoS. 9.1M ETH in staking contracts with 10.7-year avg lock. Validators earn ~2.9% APR, mostly from issuance.

4 125.7M ETH Equilibrium Is Structurally Sound

At 39M staked + 22 Gwei gas, issuance and burn converge at ~1,037K ETH/yr. Non-stakers face 1.2%/yr effective burn — a powerful monetary property.

5 $307B+ TVS and 18.7% Bitcoin Ratio Show Growing Monetary Premium

Ethereum secures $272.76B in native ETH, $22.21B in ERC20s, $12.66B in NFTs. The flippening is early but directionally positive for ETH as money.

The ultra sound money thesis is intact — on-chain activity recovery is the catalyst that reactivates ETH's deflationary engine. | Source: ultrasound.money